

- 2) How does population growth hinder economic development in India? Discuss the measures that have been undertaken in India to check population growth.

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- 3) Examine the population policy and government measures to control population growth in India.

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3.5 DEMOGRAPHIC CHANGE AND ECONOMIC GROWTH

India has witnessed rapid population growth from 448 million in 1960 to 1.04 billion in 2000 to 1.21 billion in 2010. India's population is currently growing at a rate of 1.4% per year. This rapid growth of population has been accompanied by an unparallel decline in mortality rates and an increase in income per-capita.

3.5.1 Age Structure and Economic Growth

There have been two significant breakthroughs regarding the impact of demography on economic growth. The first is the effect of changing age structure of the population and the second relates to population health.

The age structure of the population can have a large effect on economic growth. This can be due to shifts as a result of baby booms and busts and their echo effects. The baby boom is not caused by increase in births but by the sharp reduction in infant and child mortality due to increased access to vaccines antibiotics, safe water and sanitation. This type of baby-boom starts with higher survival and fertility declines as couples recognise that fewer births are needed to reach their targets for surviving children and those targets are moderated. Presence of more children requires more resources for food, clothing, housing, medical care, and schooling. This gives boost to consumption led growth. The babies born will reach working ages with period of 15-25 years where they become productive and contribute to the process of economic growth and development.

3.5.2 Concept of Demographic Dividend

Demographic Dividend is an accelerated economic growth that a nation experiences once in a lifetime when working age population grows at a faster pace than dependent population, provided that government policies and

institutions are conducive to create employment opportunities for an expanding labour force. Demographic dividend is a window of opportunity when the share of working age population in total population rises, which is known to have many benefits flow to its people. Before the dividend begins the nation is burdened with high dependency ratio, with a large and growing share of population below working age of 15. Once the dividend period has passed share of elderly population rises and they have to be provided with pension and health benefits. Demographic dividend lying between two periods is characterised by low dependency ratio and high share of working age population.

The Population Reference Bureau defines Demographic Dividend as follows

“The demographic dividend is the accelerated economic growth that may result from decline in a country’s mortality and fertility and the subsequent change in the age structure of the population. With fewer people to support a country has window of opportunity for rapid economic growth if the right social and economic policies are developed and investments made.”

Demographic Dividends are composite of five distinct forces-

- 1) The swelling of labour force as baby boomers reach working age.
- 2) The ability to divert social resources to investments in physical capital, job training and technological progress.
- 3) The rise in women’s work-force activity or labour force participation rate that naturally accompanies a decline in fertility.
- 4) The working age or age between 15 years to 59 years is prime age for savings which augments accumulation of physical and human capital and technological innovation.
- 5) With increase in life expectancy there is boost to savings that occur, as the incentive to save for longer periods of retirement increases.

The East Asian miracle happened because demographic change accounted for approximately 2 percentage points of growth rate of income per-capita, representing one-third of the supposed miracle. East Asian’s rapid economic growth was spurred by its demographic transition with decline in the fertility. Fertility decline lowers youth dependency immediately but does not appreciably affect the working age population for 20-25 years. As the share of working age population increases and dependent population declines there is an opportunity for economic growth.

However, demography dividend is not destined. An increase in working age population or productive population does not automatically lead to acceleration of economic growth. In order to capitalise the demographic dividend we need appropriate policies and institutions that would enable this working age population to find productive employment opportunities, thereby boost economic growth. In the absence of right policies and good governance, a nation may find itself with large number of unemployed or underemployed working age individuals. This unemployed pool in some instances would promote state fragility and failure with adverse political, social, economic, and ecological spill overs. Demographic dividend in that scenario gets turned to demographic disaster.

India began reaping the benefits of demographic dividend in the early 1980’s, more concretely in 1990s and is expected to reap till 2040. India has 20 more

years to realise the benefits of this demographic dividend. India needs visionary policies in the field of education, health and employment and speedy decision making to increase and sustain GDP, reduce poverty, and enhance human capabilities of our citizens. We need to ensure employment-intensive growth and social inclusion for the next quarter century to capitalise on the demographic window of opportunity.

3.5.3 Population Health

Health is a strong driver of economic growth. A productive and healthy workforce can be easily absorbed in the labour market thereby maximising the benefits of demographic dividend. Healthy populations have higher savings rates and better cognitive skills. They also attract higher foreign direct investment. According to Bloom (2011), healthier countries experience faster growth in average income and that a 10-year gain in life expectancy translates into as much as 1 additional percentage point of annual growth of income per-capita.

India's health and nutrition indicators are very poor relative to the developed and developing nations. This is because healthcare has been one of the most neglected sectors of development and has suffered from persistent neglect in the public policy. The lack of effective public involvement with health matters in India has played no small part in the resilience of India's health predicament. (Dreaze and Sen, 2013)

It is important for India to develop a comprehensive vision of health care for the country. This should be accompanied by better health delivery mechanism through institutional change and by devoting greater proportion of GDP to public expenditure on health. This has to go hand in hand with cultivation of greater efficiency and accountability in public services. Lessons can be learnt from states like Tamil Nadu, Kerala and Himachal Pradesh that have demonstrated the possibility of making rapid progress in health at an early stage of development. India can also learn from countries like Thailand, Brazil, Mexico, and China that have transformed health policies for the well-being of their citizens.

3.6 DEMOGRAPHIC DIVIDEND AND POLICY INTERVENTIONS

According to National Population Stabilisation Fund, India's population stands at 1.34 billion constituting 17.25 per cent of the world population and growing at 1.2 percent per annum. India will have around 1.53 billion people by 2030 and will boost of world's largest working age population which is expected to touch 962 million by 2030. The growth rate of labour force will continue to be higher than the dependent population. This shows that India's demographic window of opportunity or demographic dividend shall witness huge potential during this period.

According to the Economic Survey 2014-15 '300 million youth will enter the labour force by 2025 and 25 per cent of the world's workers in the next three years will be Indians. Population projections indicate that in 2020, the average age of India's population will be lowest in the world around 29 years compared to 37 years in China and United States of America, 45 years in West Europe and 48 years in Japan.' Consequently, while the global economy is expected to witness